The Coming Debt/Credit Contraction

If there is one fundamental event that will result from a major bear market in social mood, it is a collapse in the bloated debt structure, a devastating event that not one citizen in ten thousand knows is coming. All this debt will have to be liquidated, and the process is unlikely to be serene.

The only thing holding today's debt pyramid together is *confidence*, one of those amorphous mental states suited to analysis under the Wave Principle. It is confidence that creates credit, and thus a kind of fictional money that is not a real asset but the promise to pay a real asset, which often means the promise to produce a real asset that at present does not exist. Owed money is as valuable as actual assets if in the aggregate, creditors' mental processes say it is valuable, and only then. If their opinion on that point changes, that form of money is no longer on an equal footing with real assets. The danger to a monetary system comes when the outstanding credit far outstrips the pool of assets that back it up. That is when a real deflationary crisis, a collapse in the total money supply caused by a collapse in the portion that is credit (which in our economy is most of it), can occur. It will *actually* occur when the confidence that supports it erodes and then dissolves. The timing of that event is the province of market analysis.

The coming psychological change among the populace from an expansionary mood to a mood of retrenchment will initially cause an actual net debt retirement to take place. The retirement of debt will cause a contraction in the money supply, which is deflation. A reduction in the volume of outstanding credit will remove purchasing power from the financial system, so investors and consumers will reduce purchases. Sellers will react by lowering prices, first in investment markets, then in the market for goods, services and labor. As people begin to sense that prices are declining, they will defer purchases even longer, waiting for even lower prices. The postponement of purchases will induce sellers to lower prices further, which will reinforce decisions to postpone purchases. The spiraling forces of falling prices and curtailed spending will cause precarious businesses to fold. Those failures will create a further contraction in business (as well as more unpaid debts), and cause otherwise marginally successful businesses to follow suit.

As the money supply and economy contract, all classes of debtors and creditors will be affected. Many individuals, who in the aggregate owe a record amount of money on credit cards and installment plans and who have taken out second mortgages on their